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FINALTERM EXAMINATION
MGT101- Financial Accounting

Question No: 1 (Marks: 1) - Please choose one

Double entry accounting system includes:

- ► Accrual accounting only
- ► Cash accounting only
- ► Both cash and accrual accounting
- ► None of the given options

Question No: 2 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

- ► Increase in an asset, increase in owner's equity
- ► Increase in an asset, increase in a liability
- ► Decrease in an asset, decrease in owner's equity
- ► Decrease in an asset, decrease in a liability

Question No: 3 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 4 (Marks: 1) - Please choose one

An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

- ► Income Statement
- ► Balance Sheet
- ► Trial Balance
- ► Cash Book

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Question No: 5 (Marks: 1) - Please choose one

The unfavorable balance of Profit and Loss account should be:

- ► Added in liabilities
- ► Subtracted from current assets
- ► Subtracted from liabilities
- ► Subtracted from capital

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited, if business purchased a vehicle on cash?

- ► Vehicle account
- ► Cash account
- ► Business account
- ► Bank account

Question No: 7 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

- ► Prime cost
- ► Conversion cost
- ► Sunk cost
- ► Opportunity cost

Question No: 8 (Marks: 1) - Please choose one

A decrease in value of a fixed asset due to age, wear and tear is known as:

- ► Depreciation
- ► Accumulated Depreciation
- ► Appreciation
- ► Written Down Value

Question No: 9 (Marks: 1) - Please choose one

The cost of moving plant and machinery to a new site will be treated as:

- ► Revenue expense
- ► Capital expense
- ► Administrative expense
- ► Operating expense

Question No: 10 (Marks: 1) - Please choose one

Depreciation arises because of:

- ► Fall in the market value of an asset

- ► Fall in the value of money
- ► Physical wear and tear
- ► All of the given options

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revaluation of fixed assets?

- ► Revaluation should be made after regular intervals
- ► Change in value should be permanent
- ► Only relevant asset should be revalued in the whole class of asset
- ► The profit or loss will be transferred to revaluation account

Question No: 12 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

- ► Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for
- ► Correct errors in the Cash Book or errors in the Bank Statement
- ► Amend the balance of the Bank Statement of the firm
- ► Amend the balance in the Cash Book of the firm

Question No: 13 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

- ► A foreign currency account
- ► A current account
- ► A saving account
- ► All of the given options

Question No: 14 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

- ► A cheque is drawn but not yet presented at the bank for payment
- ► The bank has not yet notified to Mr. Terry about a dishonoured cheque
- ► A credit transfer into Terry's Bank Account
- ► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 15 (Marks: 1) - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

- ► It is a definite loss to the business
- ► It is not shown in Balance Sheet
- ► No provision is necessary for it
- ► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

- ► Bad debt recovered a/c
- ► Cash a/c
- ► Doubtful debts a/c
- ► Bad debts a/c

Question No: 17 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

- ► Rs. (5,100)
- ► Rs. 5,100
- ► Rs. (900)
- ► Rs. 900

Question No: 18 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

- ► A's account (Dr.) and B's account (Cr.)
- ► B's account (Dr.) and A's account (Cr.)
- ► Sales account (Dr.) and B's account (cr.)
- ► B's account (Dr.) and Sales account (Cr.)

Question No: 19 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- ► Bank charges
- ► An error on the Bank Statement
- ► An uncredited deposit
- ► An unpresented cheque

Question No: 20 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.

Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

- ► Rs. 600
- ► Rs. 1,600
- ► Rs. 2,000
- ► Rs. 2,600

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

- ► It is necessary to prepare for showing true picture of balance sheet
- ► It is a reduction from assets
- ► It is prepared for specific purposes
- ► All of the given options

Question No: 22 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about the sole trader form of business?

- ► Sole traders do not need to consult accountants
- ► Sole traders must register the name of their business with the Registrar of Companies
- ► All of the given options
- ► A sole trader is liable to pay income tax on his/her earnings

Question No: 23 (Marks: 1) - Please choose one

Which of the following is **TRUE** about the treatment of insurance paid in advance Rs. 13,000?

- ► It will be treated as an other income in Profit & Loss Account
- ► It will be treated as a current asset in Balance Sheet
- ► It will be treated as a current liability in Balance Sheet
- ► It will be treated as an accrued expense in Balance Sheet

Question No: 24 (Marks: 1) - Please choose one

Rent receivable (given in trial balance) is an item of_____.

- ► Balance Sheet
- ► Profit & Loss Account
- ► Trading Account
- ► Both Balance Sheet and Profit & Loss Account

Question No: 25 (Marks: 1) - Please choose one

What will the effects on financial statements, if machinery is depreciated @ 10%?

► It will be treated as an expense in income statement only
► It will be subtracted from concerned asset only
► It will be treated as a current asset only
► It will be treated as an expense in income statement and subtracted from concerned assets in Balance Sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **TRUE** about a merchandising company?

► A merchandising company's business is to buy and sell products
► A merchandising company must use the perpetual system to account for merchandising inventory
► A merchandising company's business is to provide services
► A Sugar Mill is an example of a merchandising company

Question No: 27 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

► Rs. 80,000
► Rs. 60,000
► Rs. 38,000
► Rs. 1, 08,000

Question No: 28 (Marks: 1) - Please choose one

Which of the following statements is **NOT TRUE** about the partnership form of business?

► A partnership is a business run by two or more persons
► A partnership business is easy to set up
► Each partner is liable under the law for the actions of other partners
► In the absence of agreement, partners will be paid salaries

Question No: 29 (Marks: 1) - Please choose one

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

► Interest account
► Partner's capital account
► Profit and Loss account
► Profit and loss appropriation account

Question No: 30 (Marks: 1) - Please choose one

When preparing a cash flow statement, which of the following would be classified as a financing activity?

- A new long-term loan taken out to finance the purchase of fixed assets
- Salaries paid
- Interest paid on a long-term bank loan
- The cost of purchasing a patent

Question No: 31 (Marks: 1) - Please choose one

When preparing cash flow statements, the repayments of a loan during the year should be included under which of the following heading?

- Operating activities
- Financing activities
- Investing activities
- None of the given options

Question No: 32 (Marks: 1) - Please choose one

An example of financing activities in the context of cash flow statement is:

- Capital expenditures on purchase of fixed assets
- Long-term deposit
- Financial charges paid
- Dividend paid

Question No: 33 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

- Sole-Proprietorship
- Partnership
- Trust
- Public Limited Company

Question No: 34 (Marks: 1) - Please choose one

Which of the given Asset is **Not** included in the calculation acid test ratio?

- Stock
- Cash
- Debtors
- Bills Receivable

Question No: 35 (Marks: 1) - Please choose one

Which of the following ratio tells about “How a company would repays its loans”

- Mark up cover ratio
- Acid test ratio

- ► Current ratio
- ► Debt Equity ratio

Question No: 36 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	**?**

- ► Rs. 8,000
- ► Rs. 92,000
- ► Rs. 62,500
- ► Rs. 300,000

Question No: 37 (Marks: 1) - Please choose one

Debenture is also named as:

- ► Share
- ► Bond
- ► Equity
- ► Reserve

Question No: 38 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

- ► It may treated as a deficit
- ► It may treated as a surplus
- ► It may treated as a revenue
- ► None of the given options

Question No: 39 (Marks: 1) - Please choose one

An accounting system is used by a business to:

- ► Analyze transactions
- ► Handle routine book-keeping tasks
- ► Classify and summarize financial information
- ► All of the given options

Question No: 40 (Marks: 1) - Please choose one

Which one of the following vouchers is used to record the non-cash transactions?

- ► Journal Vouchers
- ► Receipt Vouchers
- ► Payment Vouchers
- ► Nominal Vouchers

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Question No: 41 (Marks: 1) - Please choose one

What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?

- ► Rs. 5,500
- ► Rs. 8,000
- ► Rs. 4,500
- ► Rs. 8,500

Question No: 42 (Marks: 1) - Please choose one

Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost	**?**

- ► Rs.130, 000
- ► Rs.110, 000
- ► Rs.140, 000
- ► Rs.190, 000

Question No: 43 (Marks: 1) - Please choose one

When we close bad debts account, which of the following account is credited?

- ► Profit and loss account
- ► Bad debt account
- ► Debtor account
- ► Provision for bad debt account

Question No: 44 (Marks: 1) - Please choose one

Which of the following statement is correct? If a company fails to record estimated bad debts expense,

- ► Net realizable value is understated
- ► Expenses are understated
- ► Revenues are understated
- ► Receivables are understated

Question No: 45 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

- ► 1:2
- ► 2:3
- ► 3:2
- ► 3:1

Question No: 46 (Marks: 1) - Please choose one

Which of the following is the major benefit of a partnership over a sole proprietorship?

- ► Unlimited liability
- ► Single tax filing
- ► Difficult ownership resale
- ► Raising capital

Question No: 47 (Marks: 1) - Please choose one

Which of the following is used to convert accounting information from the cash basis of accounting to the accrual basis of accounting?

- ► Ledger
- ► Journal entries
- ► Adjusted entries
- ► Trial balance

Question No: 48 (Marks: 1) - Please choose one

Unexpired costs are reported as:

- ► Revenues
- ► Expenses
- ► Assets
- ► Income

Question No: 49 (Marks: 1) - Please choose one

The weekly or biweekly compensation received by hourly-paid employees is called:

- ► Salary
- ► Wages
- ► Income
- ► Profit

Question No: 50 (Marks: 1) - Please choose one

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

- ► Income tax payable
- ► Prepaid income tax
- ► Income tax expense
- ► Income tax paid

Question No: 51 (Marks: 1) - Please choose one

Which of the following capital is offered to the general public?

- ► Issued capital
- ► Subscribed capital
- ► Authorized capital
- ► Reserve capital

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Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is taken up by the general public?

- ► Issued capital
- ► Subscribed capital
- ► Authorized capital
- ► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

With reference to the statement of cash flows the transactions involving production and delivering goods or providing services must be classified as:

- ► Business activities
- ► Operating activities
- ► Financing activities
- ► Investing activities

Question No: 54 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

- ► Sales of machinery
- ► Capital invested by the owners
- ► Purchase of building for the business use
- ► Cash received from the disposal of equipment

Question No: 55 (Marks: 3)

How bad debts & provision for doubtful debts (new and old) are treated in profit and loss account.

Question No: 56 (Marks: 5)

Differentiate the following terms and also mention how these are treated in financial Statements.

- v Carriage inwards and carriage outwards
- v Returns inwards and returns outwards

Question No: 57 (Marks: 5)

Following information is extracted from the books of Abrar Ltd as on December 31st, 2007.

Particulars	Rs
Carriage inwards	8,000
Legal charges	6,500
Financial charges	223,500
Tax payable	30,000
Advances from customer	10,000

General reserve	40,000
Accumulated profit brought forward(credit balance)	95,000
Long term loans	100,000

Additional information
The authorized capital is Rs. 5,000,000 divided into 500,000 shares of Rs. 10 each. Issued and paid up capital 2500,000.
You are required to calculate Share holders equity

Question No: 58 (Marks: 10)

Write down the at least ten distinguishing features of a limited company which differentiate it from sole proprietor business

Question No: 59 (Marks: 10)

The following is the trial balance of Sikander's Photo Studio, Inc., dated December 31, 2007. The net income for the period is **Rs.36,000**. You are required to prepare Balance Sheet as on December 31, 2007.

Sikander's Photo Studio, Inc.
Trial balance
December 31, 2007

Cash	Rs.171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		Rs.7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned revenue		8,800
Capital stock		100,000
Retained earnings		34,000
Revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	

Income taxes expense	23,000	
	338,200	**338,200**